Next-day securities settlement, tokenisation and the transformation of Europe's financial infrastructure

By Piero Cipollone

TYPE

Speech

SUBTYPE

Central banker's speech

DATE DELIVERED

Welcome to the new BIS website. Please share your feedback to help us improve.

TOPICS

Innovation and fintech

Keynote address by Mr Piero Cipollone, Member of the Executive Board of the European Central Bank, at an EU T+1 Industry Committee event on “One year to T+1”, Frankfurt am Main, 29 October 2026.

We are approaching an important milestone.[1]

Less than a year from now, on 11 October 2027, Europe will move to T+1 settlement. This means that the time from the moment a security is traded to the moment the buyer receives it and the seller is paid will be reduced from two days to one.

This may sound like a technical change, but it is in fact much more significant.

The transition to T+1 is part of a broader transformation of Europe’s financial infrastructure. And the objective is clear: to make Europe’s financial and payment system more efficient, more resilient and safer, and ultimately to make European financial markets more competitive.

In the Eurosystem, we are contributing to this transformation across the full spectrum of our mandate.

We are ensuring that banknotes remain available and fit for purpose. We are preparing for a digital euro. We are modernising wholesale payments and securities settlement. And we are working to enhance cross-border payments and harness new technologies such as distributed ledger technology (DLT).[2]

Welcome to the new BIS website. Please share your feedback to help us improve.

From T+2 to T+1: an essential element of a broader modernisation effort

The move to T+1 contributes to this broader strategy.

It is about more than just reducing the time between trade and settlement to one day.

A shorter settlement cycle can reduce market and counterparty risk.

But, perhaps even more importantly for Europe, the transition is also forcing us to review our post-trade processes. It requires greater standardisation, automation and innovation. Inefficiencies that could be accommodated in a T+2 environment will become much more difficult to sustain under T+1.

In that sense, T+1 is a catalyst for modernising European post-trade markets. And this is important for Europe's competitiveness.

Efficient post-trade infrastructure makes it easier for capital to flow across borders. It helps investors access European markets. And it supports the EU's wider ambition to create deeper and more integrated capital markets.

It also ensures that Europe keeps pace internationally with other major markets as they shorten their own settlement cycles.

That is why the ECB, together with the European Securities and Markets Authority and the European Commission, strongly supports the market's preparations for T+1.

There is another lesson for Europe here which I believe is particularly important: we can deliver when we work together.

Europe's financial landscape remains complex and fragmented. Yet the work coordinated by the EU T+1 Industry Committee has shown that those differences do not need to stand in the way of common solutions.

I would therefore like to congratulate everyone involved for the progress made so far. It is a

Welcome to the new BIS website. Please share your feedback to help us improve.

same determination and cooperation that have been the driving force behind the project so far.

The Eurosystem is also responsible for operating TARGET2-Securities (T2S), our platform for securities settlement in central bank money through which cash and securities can be exchanged simultaneously across Europe.[3]

And the key message here is a simple one: T2S already supports shorter settlement cycles. It already settles substantial volumes of transactions on a T+1 and even a T+0 basis.

So we are not starting from scratch.

At the same time, we are adapting some T2S processes to help the market operate efficiently under the tighter timetable that T+1 will bring. This includes changes to the night-time settlement process, which are planned for June 2027 ahead of the market's migration to T+1 settlement in October 2027.

We will continue working closely with market participants and other European authorities to ensure that the transition to T+1 settlement goes smoothly.

Preparing for the financial system of tomorrow

But while we prepare for T+1, we also need to look further ahead.

Technology is reshaping finance. Distributed ledger technology and tokenisation offer opportunities not only to make today's processes faster by enabling the near-instant transfer of securities, but potentially to simplify the architecture of finance itself. Tokenisation could bring issuance, trading, clearing, settlement, custody and asset servicing into a shared digital environment.

The Eurosystem intends to be part of that transformation, and we have already moved from vision to delivery.[4]

Since 30 March, the Eurosystem has been accepting marketable assets issued in central securities depositories using distributed ledger technology as eligible collateral for its credit [5]

Welcome to the new BIS website. Please share your feedback to help us improve.

Since 21 September, Pontes has enabled wholesale transactions in tokenised assets to be settled in central bank money. It connects market DLT platforms with our TARGET Services, bringing the safety of central bank money to the emerging world of tokenised finance.[6]

To further build on this momentum, the Eurosystem will enhance the initial core functionalities of Pontes. We will do so in steps, for example by extending the operating hours significantly by mid-2027 and moving to 24/7/365 availability in 2028. We also plan to offer immediate settlement finality on the Eurosystem DLT platform as early as next year.

Appia looks further ahead.

It is exploring how we can build an integrated European ecosystem for tokenised finance around common standards, with central bank money continuing to provide the anchor of trust and stability.

By 2028, Appia aims to deliver a blueprint setting out key findings, recommendations and principles for a safe, innovative and integrated European tokenised financial ecosystem.[7]

Yesterday we published a report on the outcome of the public consultation on the Appia roadmap.[8] The consultation confirmed broad market support for developing an integrated, innovative and resilient European tokenised finance ecosystem anchored in central bank money. It also revealed a high degree of willingness among respondents to contribute actively to Appia. This provides a strong basis to develop Appia as a public-private partnership.

But embracing the future does not mean discarding what already works.

So, what does all this mean for T2S?

Let me be very clear: T2S is not going to disappear any time soon.

Different technologies and infrastructures will coexist because they are suited to different functions and different use cases.

T2S will continue to serve European securities markets. At the same time, tokenised platforms will develop and new forms of financial market infrastructure will emerge. The

Welcome to the new BIS website. Please share your feedback to help us improve.

So we should not frame the discussion as a choice between today's infrastructure and tomorrow's technology.

The real challenge is to enable them to coexist.

We need existing and new infrastructures to work together effectively, while preserving the safety of settlement in central bank money and avoiding the emergence of new technological silos.

Innovation should help Europe overcome fragmentation – it shouldn't recreate that fragmentation in digital form.

Conclusion

Let me conclude.

T+1, T2S, Pontes and Appia may appear to be different initiatives.

But they are connected by a common purpose.

We want Europe's financial infrastructure to be robust and resilient. We want it to be efficient and innovative. And we want it to provide a foundation on which an integrated and competitive European financial market can develop.

T+1 will be an important step on that journey.

We now have less than a year to complete the transition.

So let us keep up the momentum, intensify implementation and testing, and make Europe's transition to T+1 a success.

Thank you.

▶ 8 Footnotes

Welcome to the new BIS website. Please share your feedback to help us improve.

Authors

Piero Cipollone
Member of the Executive Board

Welcome to the new BIS website. Please share your feedback to help us improve.

Welcome to the new BIS website. Please share your feedback to help us improve.